

ONDAS



Ondas Inc. (NYSE: ONDS)
Current Price: \$9.60 (as of 04/02/26)
Recommendation: Buy (Long)

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Introduction





Ondas Inc.

Headquartered in West Palm Beach, Florida, it was incorporated in 2014 and IPO in end of 2020. Trades on NASDAQ under ticker ONDS at \$9.60 (as of 04/02/26). Ondas provides private wireless, drone, and automated data solutions in the United States and internationally, operating through two segments: Ondas Networks and Ondas Autonomous Systems.

Business Segments

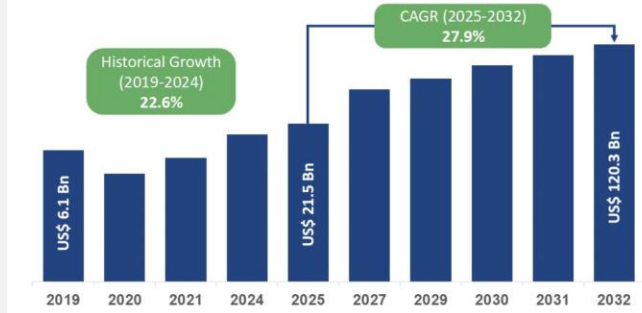
1. Ondas Networks

Ondas Networks provides wireless connectivity solutions enabling mission-critical Industrial Internet applications and services, referred to as the Mission-Critical Internet of Things (MC-IoT). Their flagship product is the Full MAX Software Defined Radio (SDR) platform, focused on rail and critical infrastructure connectivity.

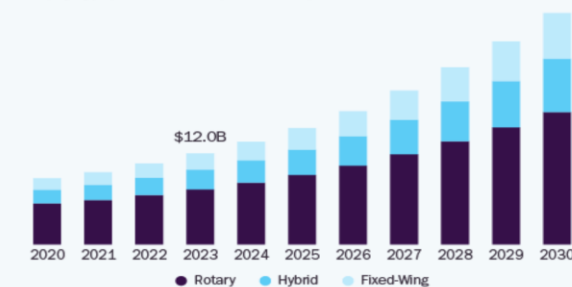
2. Ondas Autonomous Systems (OAS)

OAS develops and integrates drone-based solutions focusing on high-performance critical applications for government and Tier-1 commercial enterprises, with two commercially available platforms: the Optimus System, a fully autonomous drone platform for aerial data capturing and analytics, and the Iron Drone Raider, a fully autonomous interceptor drone designed to neutralize small hostile drones.

Global IoT Sensors Market Size, 2025 – 2032



Small Drone Market
Size, by Type, 2020 - 2030 (USD Billion)



Key Products & End Markets



1. Key Products

Optimus (AI-powered drone), Airbase (ruggedized weatherproof base station), Insightful (secure web portal and API for remote data interaction), and the Raider (counter-drone system).



2. End Markets

Rail, energy, mining, agriculture, public safety, critical infrastructure, and government.



Management



Erick Brock

*Chairman, President, &
CEO*



Patrick Huston

*COO, General Counsel,
& Secretary*



Oshri Lugassy

*Co-CEO (Ondas
Autonomous Systems)*



Markus Nottelmann

CEO (Ondas Networks)

Macroeconomic Trends

BVLOS regulation unlocks autonomy

- FAA's BVLOS rules reduce operational barriers for unmanned drones
- Remote operations become scalable across industries such as rail and defense
- Regulatory clarity accelerates commercial adoption
- Lower compliance friction expands the addressable market

Defense spending accelerates demand

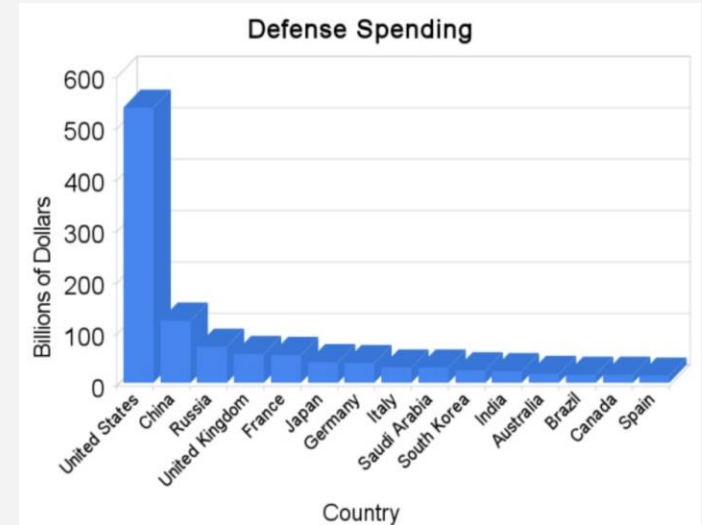
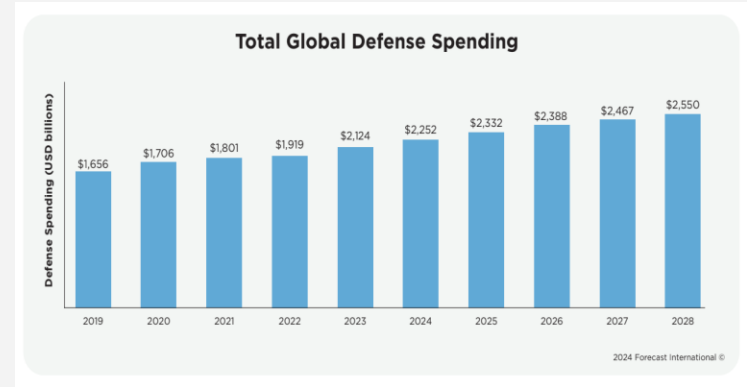
- Global defense budgets are rising across the U.S., NATO, and APAC
- Militaries are prioritizing autonomous intelligence, surveillance, and reconnaissance tools & perimeter security
- Funding shifts toward persistent, automated surveillance systems
- Demand aligns with companies having autonomous and counter-UAS capabilities

Counter-UAS needs to intensify globally

- Real-world conflicts demonstrate the destructive capabilities of drones
- Governments require automated detection and response systems
- Counter-UAS procurement is accelerating
- Integrated autonomous systems & counter-UAS ecosystems gain strategic importance

Industrial automation adoption rises

- Industries such as rail, energy, and utilities face labor shortages
- Labor and outdated infrastructure push operators toward autonomous inspections
- Continuous monitoring needs favor dock-based drone systems
- Private wireless networks support large-scale automation deployments



Growth Drivers

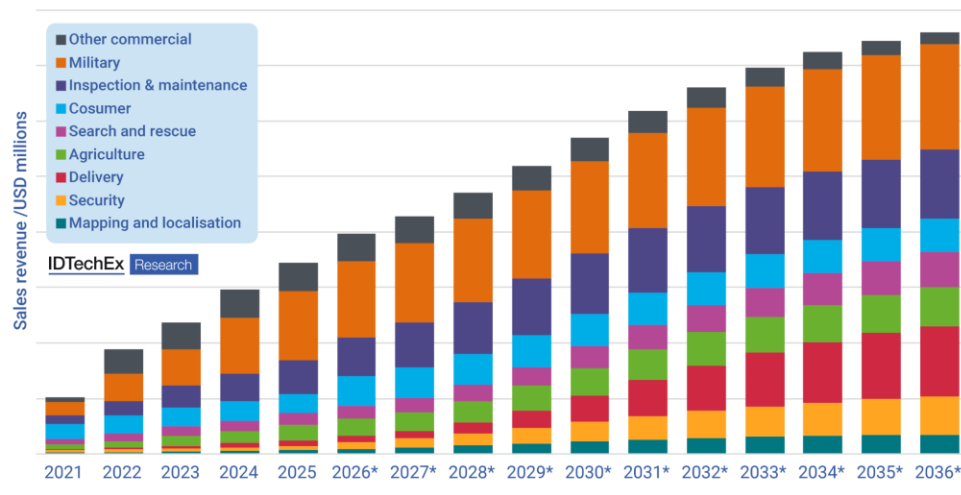
Adoption of private wireless networks:

- Reliable, secure connectivity
- Public networks aren't built for critical mission use
- Railroads are shifting to dedicated spectrum and infrastructure

Autonomous drone network:

- Increase demand for automated inspections & surveillance
- Reduces labor costs and provides safety
- Energy defense and smart cities
- Has subsidiaries

Global Drones Market Size Forecast by Scenarios 2021-2036



Porter's Five Forces

Threat of New Entrants: **Moderate**

- High Regulatory, Certification & Procurement Barriers
- VC + Software Innovation Lowers Entry Cost

Bargaining Power of Suppliers: **Moderate to High**

- Relies on specialized components with few alternatives
- Geopolitical risks & component constraints compress margins

Bargaining Power of Buyers: **High**

- Price-sensitive gov't & defense buyers with lengthy procurement cycles
- Foreign gov't contracts secured, validating product & supporting expansion

Threat of Substitutes: **Moderate**

- Counter-UAS: jamming, kinetic & prime contractor solutions exist
- Mission-critical demand for secure, specialized systems limits substitution

Degree of Competitive Rivalry: **High**

- Competes with defense primes, drone OEMs, C-UAS startups & telecoms
- Large, lumpy contracts heavily competed on performance - not price



Investment Thesis

Ondas is a long-term, execution-dependent growth investment, best viewed as a speculative but asymmetric 3-to-5-year hold as it transitions from a microcap narrative to a scaled defense autonomy platform due to:

- Global defense spending & counter-UAS demand
- Contract conversion
- Improving margins & cash flow

Competitors

Red Cat Holdings

Cognex

Kratos Defense and Securities

AeroVironment

(As of 3/23/26)						
Company	Ticker	Market Cap (\$MM)	EV (\$MM)	EV/EBITDA	LTM EV/REVENUE	P/E
Red Cat Holdings, Inc.	(RCAT)	1.22B	1.18B	(144.70)	71.59	(20.44)
Cognex	CGNX	6.01B	5.79B	30.55	5.96	55.35
Kratos Defense & Security Solutions, Inc.	(KTOS)	12.82B	12.39B	138.72	9.64	583.92
AeroVironment	(AVAV)	10.45B	10.3B	65.50	6.30	(47.50)
Ondas Holdings Inc.	(ONDS)	4.5B	4.0B	(107.87)	88.29	(9.63)
Average				-4.49x	34.70x	109.31x
Median				30.55x	9.64x	-20.44x
High				138.72x	88.29x	583.92x
Low				-144.7x	5.96x	-47.5x

Risk & Mitigants

Risk



Early Stage

Early stages in generating significant revenue in its drone and connectivity sectors; relies on capital raises



Legal Issues

Trying to scale private industrial wireless networks and autonomous drone platforms, both requiring regulatory hurdles, long sales cycles, and technical deployment challenges



Volatility

High beta range as a deep tech and defense company implies larger sell-offs from market apprehension, despite operational performance



Early Stage

Growing backlog and new government contracts improve visibility into future revenue
American Robotics shifts toward recurring SaaS and data-service models, reducing reliance on one-time purchases



Legal Issues

Management displays competency through FAA BVLOS waivers and Class I railroad pilot deployments
Modular structure of both subsidiaries reduces operational risk



Volatility

Contract wins, FAA certifications, and government program awards can catalyze a re-rate of the stock and provide stabilization from market conditions

Mitigants

Price Targets for Bear, Bull, Base

	Revenue	EV/Revenue	Implied EV	Price Target
Bear	\$250m	6.0x	1.5B	\$3.00
Base	\$450m	12.0x	5.4B	\$10.80
Bull	\$650m	15.0x	9.75B	\$18.50

Income Statement Projection

	Historical						Projected					
	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Revenues, Net	\$320,383.0	\$2,163,719.0	\$2,906,771.0	\$2,125,817.0	\$15,691,430.0	\$7,192,694.0	\$27,051,249.0	\$62,156,200.0	\$92,261,506.0	\$115,326,883.0	\$133,477,103.0	\$139,867,343.0
Cost of Goods Sold	79,126.0	1,236,051.0	1,810,942.0	79,126.0	1,236,051.0	1,810,942.0	16,230,749.0	34,185,910.0	46,130,753.0	55,357,304.0	62,734,238.0	62,940,304.0
Gross Profit	241,257.0	927,668.0	1,095,829.0	2,046,691.0	14,455,379.0	345,183.0	10,820,500.0	27,970,290.0	46,130,753.0	59,969,579.0	70,742,865.0	76,927,039.0
margin	75.30%	42.87%	37.70%	96.28%	92.12%	4.80%	40.00%	45.00%	50.00%	52.00%	53.00%	55.00%
Operating expenses:												
General and Administration	4,792,867.0	7,641,234.0	11,781,503.0	23,618,823.0	21,556,976.0	17,141,882.0	9,467,937.0	15,539,050.0	18,452,301.0	20,758,839.0	20,021,565.0	16,784,081.0
Sales and Marketing	5,403,901.0	1,223,767.0	1,487,394.0	3,456,257.0	5,908,263.0	5,336,204.0	8,115,375.0	13,674,364.0	16,607,071.0	17,299,032.0	17,352,023.0	16,784,081.0
Research and Development	5,416,425.0	3,586,553.0	5,800,549.0	24,044,005.0	17,145,235.0	12,476,401.0	6,762,812.0	12,431,240.0	13,839,226.0	13,839,226.0	13,347,710.0	11,189,387.0
Goodwill Impairment	-	-	-	19,419,600.0	-	-	-	-	-	-	-	-
Longterm Equity investment impairment	-	-	-	-	1,500,500.0	-	-	-	-	-	-	-
Total operating expense:	15,613,193.0	12,451,554.0	19,069,446.0	70,538,685.0	46,110,974.0	34,954,487.0	24,346,124.0	41,644,654.0	48,898,598.0	51,897,097.0	50,721,298.0	44,757,549.0
EBIT	(15,371,936.0)	(11,523,886.0)	(17,973,617.0)	(68,491,994.0)	(31,655,595.0)	(34,609,304.0)	(13,525,624.0)	(13,674,364.0)	(2,767,845.0)	8,072,482.0	20,021,567.0	32,169,490.0
margin	(4,797.99%)	(532.60%)	(618.34%)	(3,221.91%)	(201.74%)	(481.17%)	(50.00%)	(22.00%)	(3.00%)	7.00%	15.00%	23.00%
Other Income (Expense):												
Other Income	12,691.0	20,209.0	591,900.0	(76,127.0)	(180,904.0)	(19,890.0)	-	-	-	-	-	-
Change in fair value of grant liability	-	-	-	-	(478,721.0)	94,962.0	-	-	-	-	-	-
Interest Income	1,863.0	251.0	11,578.0	25,542.0	123,874.0	234,930.0	258,423.0	284,265.0	312,692.0	343,961.0	378,357.0	416,193.0
Interest Expense	(2,929,369.0)	(1,936,847.0)	(575,685.0)	(3,761,698.0)	(4,154,759.0)	(3,620,258.0)	(4,163,297.0)	(4,787,792.0)	(5,506,961.0)	(6,333,005.0)	(7,282,956.0)	(8,375,399.0)
Change in fair alue of deriavative liability	-	(37,607.0)	-	-	-	-	-	-	-	-	-	-
Impairment of deferred offering costs and finaancing costs associated with canclcd financing ef	(919,950.0)	-	-	-	-	-	-	-	-	-	-	-
Loss on disposal of fixed assets	(183,431.0)	-	-	-	-	-	-	-	-	-	-	-
Foreign exchange loss, net	-	-	-	-	(425,062.0)	(88,197.0)	-	-	-	-	-	-
Total other income: (expense)	(4,018,196.0)	(1,953,994.0)	27,793.0	(3,812,283.0)	(5,115,572.0)	(3,398,453.0)	(3,904,874.0)	(4,503,527.0)	(5,194,269.0)	(5,989,044.0)	(6,904,599.0)	(7,959,206.0)
EBT	(19,390,132.0)	(13,477,880.0)	(17,945,824.0)	(72,304,277.0)	(36,771,167.0)	(38,007,757.0)	(9,620,750.0)	(9,170,837.0)	2,426,424.0	14,061,526.0	26,926,166.0	40,128,696.0
Provision for income taxes	-	-	-	-	-	-	-	-	-	-	-	-
Benefit from Income Taxes	-	-	2,921,982.0	-	-	-	-	-	-	-	-	-
Net Income	(19,390,132.0)	(13,477,880.0)	(15,023,842.0)	(72,304,277.0)	(36,771,167.0)	(38,007,757.0)	(9,620,750.0)	(9,170,837.0)	2,426,424.0	14,061,526.0	26,926,166.0	40,128,696.0
margin	(6,052.17%)	(622.90%)	(516.86%)	(3,401.25%)	(234.34%)	(528.42%)	(35.56%)	(14.75%)	2.63%	12.19%	20.17%	28.69%
Depreciation and Ammortization	488,201.0	829,994.0	1,936,238.0	8,399,341.0	9,192,102.0	8,191,737.0	9,000,000.0	9,500,000.0	10,000,000.0	10,500,000.0	11,000,000.0	11,500,000.0
EBITDA	(14,883,735.0)	(10,693,892.0)	(16,037,379.0)	(60,092,653.0)	(22,463,493.0)	(26,417,567.0)	(4,525,624.0)	(4,174,364.0)	7,232,155.0	18,572,482.0	31,021,567.0	43,669,490.0
margin	(4,645.61%)	(494.24%)	(551.72%)	(2,826.80%)	(143.16%)	(367.28%)	(16.73%)	(6.72%)	7.84%	16.10%	23.24%	31.22%
Less preferred dividens attributable to noncontrolling interest	-	-	-	-	512,207.0	1,504,138.0						
Less deemed individuals attributable to acretion of redemption value	-	-	-	-	1,001,538.0	2,907,567.0						
Net loss attributable to common stockholders	-	-	-	-	(46,358,617.0)	(42,419,462.0)						
Earning Per Share:												
Basic	(1.1)	(0.7)	(0.4)	(1.7)	(0.9)	(0.6)						
Diluted	(1.1)	(0.7)	(0.4)	(1.7)	(0.9)	(0.6)						
Weighted average number of shares outstanding:												
Basic	17,610,925.0	20,428,490.0	34,180,897.0	42,242,525.0	52,740,215.0	69,917,062.0						
Diluted	17,610,925.0	20,428,490.0	34,180,897.0	42,242,525.0	52,740,215.0	69,917,062.0						

Balance sheet



Assets

What the company
owns

109M



Liabilities

What the company
owes

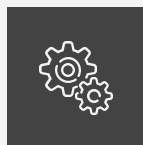
73.7M



Equity

Difference between
both

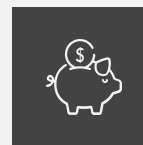
35.3M



Conviction:

Long Buy

Conclusion



Expected PT

\$18.50